

Software Requirements Document (RD)

Nawaloka Consumer Care (Former EWM) ERP Development on iMake OS

Client Review Edition | Version 1.0 | September 2026

This document defines the practical business and system requirements for an integrated ERP (The System) covering the full flow from material planning and purchasing through manufacturing, sales, inventory, finance, and management reporting. It is intended to support scope confirmation, solution design, configuration, development, testing, and acceptance.

Document control	Detail
Document owner	Nawaloka Consumer Care and iMake implementation team
Business purpose	Replace fragmented operational records with one controlled ERP process
Primary outcome	Reliable stock, finance, approvals, and decision-ready reporting from one system
Status	Requirements baseline for client review and confirmation

Commented [GL1]: Rakshitha - Approval Module should be similar to the module provided in iForce SFA system

1 Purpose and Objectives

The ERP will provide Nawaloka Consumer Care with a single operational platform on iMake OS. It will support traceable transactions, controlled approvals, accurate inventory valuation, timely financial close, and usable reports without making routine work difficult for operational users.

- Create one source of truth for item, stock, customer, supplier, production, and finance data.
- Standardize the procure to pay, plan to produce, order to cash, and record to report processes.
- Give users simple screens, live-search selections, clear status visibility, and actionable error messages.
- Enable management to monitor sales, stock, production, receivables, profitability, and cash position promptly.

Commented [GL2]: Will the inventory valuation use FIFO (First-In, First-Out) or Weighted Average Costing? (Relates to Section 18, point 3, Section 12.5 point 1).

Commented [GU2R2]: will adopt FIFO inventory valuation to strictly mirror the physical flow and batch pricing of materials. Costs must be allocated based on the oldest active lot balance.

2 Scope

In scope module	Business coverage
Material Management	Item creation, specifications, units, substitutions, batch and shelf-life attributes, material planning inputs.
Inventory [NEW/REVISED]	Multi-location stock, batches, movements, reservations, counts, valuation, Material Request (MR), Goods Transfer (GT), warehouse/sub-location controls and adjustments.
Procurement [NEW/REVISED]	Purchase Requisitions, PR-Based PO, Direct PO, local/import procurement, supplier quotations, PO/GRN approvals, receipts, returns, non-PO receipts, supplier invoices and cancellation controls.
Production [NEW/REVISED]	BOMs, routings, production plans/orders, RM -> WIP -> FG movement, material issue, output receipt, scrap, rework and variances.
Sales [NEW/REVISED]	Customer and pricing setup, quotations, sales orders, delivery/GDN, Gate Pass, invoicing, returns, credit control, collections and full/partial sales-order cancellation.
Single Legal Entity & Base Currency	The system operates under a single corporate tax registration (TIN/VAT) in LKR. Internal divisions (Soya, Pasta, Sauce, Turkey Import, Contract Mfg) operate as internal branches/cost centers, not separate statutory companies.
SFA Integration	Controlled exchange of orders, customers, collections, returns, route and visit information with the SFA platform.
Finance [NEW/REVISED]	Full Finance module including General Ledger and Chart of Accounts, Accounts Payable, Accounts Receivable, Cash & Bank, Fixed Assets, inventory accounting/costing, Tax & Compliance, period close

Commented [GL3]: Does this Scope include Imports (offshore Procurement) as well as Local Purchase process?

Commented [GU3R2]: Yes, the scope includes both Local Purchasing and Imports. For imports, the system must be able to handle foreign currency Purchase Orders

	and financial statements.
Multi-Currency Procurement	Supports foreign currency Purchase Orders (USD, EUR, INR) while automatically converting and maintaining the General Ledger strictly in LKR.
Reports and Dashboards	Operational reports, financial statements, exception reports, dashboards, drill-down, export, and scheduled delivery.
Approval Module Architecture	The approval module must align with the hierarchical maker-checker workflow pattern (similar to iForce SFA), separating data entry from authorization with time-bound delegation and mandatory rejection/return reasons.

3 Users and Roles

Role	Main responsibilities	Access principle
System Administrator	User setup, role assignment, configuration, audit support	No business approval authority by default
Master Data Steward	Items, customers, suppliers, prices, chart of accounts	Create or amend subject to approval
Requestor and Department Head	Raise and approve requisitions	Only own department and approval limit
Buyer / Procurement Manager	RFQs, PR-Based and Direct PO processing, supplier management and PO approvals	Maker-checker; buyer cannot approve own PO beyond policy
Stores / Warehouse Team	GRN creation, receipt, transfer, issue, MR, GT, count and controlled adjustments	Location-specific rights; GRN/MR/GT/GDN approvals as configured
Production Planner and Supervisor	Plans, production orders, material issue and output confirmation	Plant or line scope
Sales / Credit / Dispatch Team	Orders, prices, delivery/GDN, Gate Pass, credit release and cancellation handling	Customer, credit and dispatch permissions
Finance Team	Invoices, payments, journals, reconciliation and close	Segregated preparation and approval
Management	Review dashboards, approve exceptions and policies	Read-only plus defined approvals

Commented [GL4]: Which 'Roles' use the system? For example, there can be two roles from the Finance dept; Finance Manager and Finance Admin. Each of these roles will have different workflows and access levels.

Commented [GU4R2]: Yes, each department will have distinct hierarchical roles separating data entry from approval. we will share the approval flow separately

4 Overall Process Flow

The ERP will connect the core business flow below. Every completed operational transaction will update the relevant stock and finance records through defined system rules; users will not maintain duplicate balances outside the ERP.

Business flow	Target process
Plan and buy	Demand/material requirement -> PR -> PR approval -> supplier selection/RFQ -> PR-Based PO or authorized Direct PO -> PO approval -> PO release -> GRN -> GRN approval -> supplier invoice -> payment.
Make	Production plan -> production order -> approved BOM/routing -> RM issue -> WIP -> output/scrap confirmation -> FG receipt -> production cost/variance posting.
Sell and collect	Customer/SFA order -> credit/price/stock validation -> sales order -> delivery/GDN -> Gate Pass -> invoice -> collection allocation -> receivable follow-up.
Control and report	Operational transactions -> stock and finance posting -> reconciliation -> period close -> dashboards and statutory / management reports.

5 Solution Principles

- Simple UX: common transactions should need the fewest practical fields, with defaults, clear labels, status indicators, and guided actions.
- Backend validation: all business rules, authorizations, calculations, stock checks, credit checks, and approval decisions must be enforced by backend services, not only the screen.
- Backend pagination and filtering: lists and reports must retrieve only the required page; live-search dropdowns must return ranked, relevant matches without loading full master lists.
- Single source of truth: the ERP stock ledger is the official inventory record and the finance ledger is the official accounting record. Integrated systems exchange transactions, not independent balances.
- Traceability by design: each posted transaction retains document number, user, date/time, source, approval history and links to its originating document.
- No silent deletion of posted business documents; corrections follow controlled revoke/version, reversal, return, credit note or adjustment processes.

5.1 Document Numbering

Automatic Document Numbering

The system shall automatically assign every business document (Sales Order, Purchase Order, Invoice, GRN, GDN, Journal Entry, etc.) two unique numbers at the time of creation:

- Document Number — a human-readable reference in the format

`<Prefix><YYYYMM><Sequence>` (e.g. `PO202609001`), numbered sequentially within each calendar month and resetting at the start of a new month. The prefix is defined per document type.

- Audit Sequence Number — a permanent, system-wide sequential number per document type that never resets and is never reused. It is retained for the document's entire lifecycle and serves as the reference for audit trails and financial reporting.

Rules:

- Numbers are generated automatically by the system and cannot be edited by users.
- Number generation must be safe under concurrent use (no duplicates, no reuse).
- Numbers are assigned once at creation and never change, including on posting, approval, or cancellation.
- Deleted documents are retained (soft delete) and keep their numbers; sequence gaps are intentional and must not be filled.

6 Functional Requirements

6.1 Material Management

ID	Requirement
MM-01	Maintain a controlled item master for raw materials, packaging, consumables, semi-finished goods, finished goods, services and non-stock items.
MM-02	Store item code, description, category, base and alternate units, tax group, valuation method, reorder settings, shelf-life / batch rules, status and attachments.
MM-03	Support approved BOM material versions, substitutions and alternative materials with effective dates.
MM-04	Prevent use of inactive, blocked, duplicate or unapproved items in transactions.
MM-05	Provide live-search item selection by code, name, barcode and relevant attributes.
MM-06	Provide controlled bulk product updates through approved import templates for items, units, categories, reorder settings, tax groups, status and selected commercial attributes. The system must validate every row, show errors before posting, retain an upload log, and apply changes only after the required approval.
MM-07	Support item classification including Raw Material, WIP, Semi-Finished, Finished Goods, Packaging, Consumable, Service and Non-stock, as applicable.
MM-08	Item descriptions must be auto-generated by concatenating: Category + Brand + Variant + Size/Weight (e.g., "Soya Meat - Nawaloka - Spicy - 90g"). The system must enforce a hard block on duplicate active descriptions, barcodes, or SKUs upon creation.
MM-09	Item-Specific UOM Conversions: The Base UOM (Stock Keeping Unit) is defined as the smallest physical unit (e.g., g, ml,

Commented [GL5]: can you explain services and non-stock items? do you handle them by unique items codes?

Commented [GU5R2]: Currently, we do not maintain unique item codes for services and non-stock items in our SAP system. However, as part of this new ERP implementation, we expect to establish a structured item master for these categories. We want the new system to allow us to create unique item codes for services and non-stock items so we can better track, control, and report on our indirect procurement spend.

Commented [GL6]: 1 - What specific planning logic must the ERP support for raw materials and packaging? Is it:
(a). Simple Min/Max levels (reorder when stock falls below X)?
(b). Standard Reorder Point (ROP) (reorder when stock falls below safety stock + lead time demand)?

2 - Does the replenishment engine need to factor in active supplier lead times, or will lead times be maintained as static, manual inputs on the Item Master?

Commented [GU6R2]: Although our current legacy SAP system does not utilize automated reordering, this is a key improvement we expect to implement in the new system. 1. The ERP must support Standard Reorder Point (ROP) logic, triggering a reorder when stock falls below safety stock plus lead time demand. 2. We will maintain lead times as static, manual inputs on the Item Master for now, but the replenishment engine must use those static inputs to automatically calculate the ROP.

Commented [GL7]: What about weight and volume, HS code of an item? if you require landed costs, these must be captured at this level

Commented [GU7R2]: Yes, please include fields for weight, volume, and HS codes in the Item Master

Commented [GL8]: Which specific fields should be editable via the bulk update template, and which fields (such as Valuation Method, Cost Center, or Tax Group) must be hard-locked once the item has active transaction history?

Does the bulk update upload require dual-control approval (e.g. prepared by Master Data admin, approved by Product Admin) before committing to the database?

Commented [GU8R2]: The ERP should support a controlled Bulk Item Master Update Template. Fields should be classified into three categories: Editable, Conditionally Editable, and Hard-Locked after transaction history.

1. Fields that should be editable through bulk update
The following operational/master-data fields should generally be available for bulk updates:

Item Description
Short Description
Item Category / Product Category
Brand
Product Group
Sub-category
Item Type
Base UOM, subject to UOM conversion validation
Purchase UOM
Sales UOM
Inventory UOM
Packaging/UOM conversion
Net Weight
Gross Weight
Volume
Dimensions
Barcode / EAN
Manufacturer
Country of Origin
Supplier
Supplier Item Code

	Piece, Bottle). Packaging conversion factors (e.g., 1 Case = 12 Units) are defined at the individual Item Master level, not as global rules. Purchase orders must dynamically fetch conversions directly from the item master.
MM-10	Services & Non-Stock Items: Distinct item codes and masters must be established for indirect procurement (Services, Non-Stock, Consumables) to track and report on indirect departmental spend.
MM-11	Replenishment Logic (ROP): Implements Standard Reorder Point (ROP) logic: ROP = Safety Stock + (Daily Demand X Static Lead Time Days) Lead times are maintained as static inputs on the Item Master, automatically triggering draft Purchase Requisitions when stock falls below the ROP. Optional Min/Max logic remains available for low-value packaging.
MM-12	Landed Cost Attributes: The Item Master must capture weight, volume, hH Code, and tax Group.
MM-13	Bulk Item Master Update Controls: Bulk import template fields are categorized into three operational levels: Editable: Commercial & descriptive attributes. Conditionally Editable: Tax Group, Cost Center, HS Code, Reorder Settings (requires authorization and leaves an audit log without altering historical postings). Hard-Locked: Valuation Method (once transactions exist).

6.2 Inventory

ID	Requirement
INV-01	Maintain perpetual stock by company, warehouse, location/bin, item, batch and unit of measure where applicable.
INV-02	Support goods receipt, issue, transfer, return, quarantine, release, stock adjustment, cycle count and full physical count.
INV-03	Reserve available stock against approved sales orders and production orders; display available, reserved, blocked and in-transit quantities separately.
INV-04	Enforce batch, expiry and FEFO/FIFO issue rules where configured; prevent expiry-sensitive release unless authorized.
INV-05	Post inventory value automatically using the approved costing policy and create matching finance entries.
INV-06	Require reason codes and approval for adjustments; retain before/after quantities, value, user and reference.
INV-07	Control inventory visibility and transaction access using Company -> Branch -> Main Warehouse -> Sub-location hierarchy
INV-08	Support three (3) Main Warehouses and their configured sub-locations. All billable GRNs shall be processed through an applicable Main Warehouse.
INV-09	Support Goods Transfer (GT) for stock movements between Main Warehouses, sub-locations and other permitted locations, subject to authorization, validation and approval.
INV-10	Support Material Request (MR) for internal/non-PO material requests, including requester, source, destination, item, quantity, required date, purpose, status and approval details.
INV-11	Support controlled Document Revoke and Version Control. Revoked documents are not permanently deleted; prior versions, reason, user, date/time, approval and audit history are retained.
INV-12	There are two types of GRN; with PO and without PO. A single PO can have multiple GRNs. An MR can have multiple GDNs
INV-13	Statuses of material/goods need to be kept location-wise. Example; There are separate bins for 'Sound', 'Damaged', 'Expired'
INV-14	When internally transferring goods items from 'Sound' to another 'Sound' location. There is no approval workflow required. But, if the transfer if between Sound to Damaged, or Damaged to Sound, a workflow requires involving Finance/Procurement departments
INV-15	User of Main Warehouse need to check the inventory of a factory warehouse and raise MR
INV-16	Warehouse Structure & Hierarchy: Supports 3 Main Warehouses (Peliyagoda Factory RM Store, Packaging Store, FG Store) and Elakanda Distribution Warehouse. Registered Contract Manufacturing sites must be configured as authorized virtual warehouses for direct supplier deliveries.
INV-17	Strict FIFO Warehouse Picking: Physical picking rules strictly enforce First-In, First-Out (FIFO) based on batch receipt dates for Raw Materials and Packaging.
INV-18	QA Expiry Extension Workflow: Expired raw material batches are automatically hard-blocked. An authorized Quality Assurance (QA) user can extend an expiry date after physical lab testing, but this requires a mandatory system workflow approval (QA Manager / Operations Head) and preserves the original expiry date in an unalterable audit log.
INV-19	Configurable Return Document Templates: Replaces generic return dropdowns with dedicated return document templates: - Market Return: Expired goods routed to Quarantine bin. - Damage Return: Physical damage routed to Quarantine/Scrap bin. - GRA (Goods Return Advice): Customer unsatisfied returns.

Commented [GL9]: Is the 'Company' the root storage location? or the Warehouse? (i.e. what is the largest storage location) and is the 'bin' the smallest storage location (i.e. it will not be segregated into further, smaller sub locations).

Commented [GU9R2]:

- Raw Material Store – Peliyagoda Factory
- Packing Material Store – Peliyagoda Factory
- Finished Goods Store – Peliyagoda Factory
- Elakanda Warehouse – Finished Goods Distribution

Commented [GL10]: In order to 'issue, transfer', it is first needed to create the Material Request (MR). Need further info on MR process

Commented [GU10R2]: Yes, we require a formal Material Request (MR) workflow for all issues and transfers.

Commented [GL11]: What is the Return process? Are there return types such as Damaged, Recalls, Customer unsatisfied etc. ?

Commented [GU11R2]: Yes, there are various return types such as Damaged, Expired, and Customer Unsatisfied. Instead of hard-coding these as a simple drop-down list on a single screen, we currently manage these by posting them through separate return templates or document types. For example, we use a 'Market Return' template for expired items, a 'Damage Return' template for physical damage, and a 'GRA' template for customer unsatisfied returns. The new ERP should support configurable return document types (or templates) that can each trigger their own specific workflow, GL account posting, and receiving stock location (e.g., quarantine vs. active stock).

Commented [GL12]: What is the 'Stocks Adjustment (SA) process? Note: SA should be strongly discouraged as a 'mistake correction' method. SA should always go through strict workflow approval process. Also, it has cascading impacts on vendor invoicing, JE and GL

Commented [GU12R2]: We agree with this recommendation. Please configure the ERP so that the Stock Adjustment screen cannot post directly to the ledger. All SA transactions, regardless of quantity, must trigger a mandatory approval workflow to the Finance department, accompanied by a valid Reason Code.

Commented [GL13]: Will physical warehouse picking rules strictly enforce FEFO (First-Expired, First-Out) or FIFO (First-In, First-Out) for raw materials and packaging? What are the specific criteria, approval workflows, and security roles required to override an expiry-sensitive release?

Commented [GU13R2]: For raw materials and packaging, the physical warehouse picking rules must strictly enforce **FIFO (First-In, First-Out)** based on our current operational methods.

INV-20	Stock Adjustment (SA) Governance (Reconciliation Module): Direct posting from the Stock Adjustment screen is hard-blocked. All SA transactions require a mandatory Reason Code and route through a Finance approval workflow ('WF-01') regardless of value.
INV-21	Pallet-Level vs Product-Level Issuance: Main warehouses operate under Pallet-Level Tracking (GRN, Pick List, GDN down to pallet ID). Factory internal stores operate at the Product Level.
INV-22	Internal Goods Transfer (GT) & Material Request (MR): Material Requests specify either Customer Issue (fulfilled by GDN) or Internal Transfer (fulfilled by GT). Sound-to-Sound stock movements within a location require no approval, whereas Sound-to-Damaged or Damaged-to-Sound transfers require Finance/Procurement workflow authorization.

6.2.1 Stock Reconciliation (Physical Inventory Count)

The system shall provide a Stock Reconciliation function to compare physical stock against system stock per location, record variances, and automatically update inventory and accounting records. The process shall be:

1. Initiate — The user selects a storage location (Warehouse, sub-locations inside warehouse, Factory warehouse etc.). The system generates a count sheet listing every product with quantity on hand per the system records at that moment, with a unique reconciliation number in the document numbering format (SA prefix).
2. Enter Counts — The counter enters the physically counted quantity for each product, counting **usable goods** and **damaged goods** separately. The system automatically calculates the variance (adjustment) per product.
3. Complete — On confirmation, the system posts the variances to the inventory ledger and automatically creates the corresponding journal entries to the general ledger, per the accounting rules below.

Reconciliation Types:

- Stock Reconciliation — a general stock-take of a location. Net shortages post as inventory shrinkage (expense); surpluses post as inventory gain. Transfer of goods into the damaged category is recorded as damaged inventory.
- GRN Reconciliation — corrects goods received against a specific Goods Receipt Note (over- or under-receiving). Variances post against the GRNI suspense account, and the vendor-invoiceable amount is adjusted accordingly. Only reductions are permitted, limited to the quantity actually received and not previously written off.

Rules:

- Only one open (pending) general reconciliation may exist per location at a time.
- System quantities are frozen at initiation; each count session works against a stable snapshot. The count sheet can be refreshed to current system stock before completion.
- The system shall prevent completion where an adjustment would reduce stock below the quantity already allocated to open orders.
- A GRN may be corrected on only one open reconciliation at a time, and cannot be adjusted once its vendor invoice has been posted; conversely, an invoice cannot be posted while GRN corrections remain open.
- Completed reconciliations are final: they cannot be revoked or deleted. Corrections are made by posting a new reconciliation.
- Pending reconciliations may be deleted; numbers are never reused.
- Removal of pallet numbers during counting is recorded in a pallet removal audit log.
- The system records who initiated and who completed each reconciliation, with timestamps.

6.2.2 Goods Issue & Pallet-Level Stock Tracking

The system shall support two issuance modes, determined by a per-location configuration attribute: pallet-tracked locations (e.g. the main warehouse) and product-level locations (e.g. warehouses inside factories).

Mode 1 — Pallet-tracked locations (main warehouse):

Stock is maintained down to pallet number — the smallest storage unit — on both receipt and issue, ensuring pallet-level balances remain accurate and full traceability is available (which customers received goods from which pallet/shipment).

1. Material Request (MR) — the requesting user specifies part number and quantity only. The MR remains a pure demand document; it does not specify pallets.
2. Pick List (PL) — generated from the MR by the system. The system proposes the goods to issue using the FIFO rule (oldest stock first), splitting a line across multiple pallets where a single pallet cannot fulfil the quantity. The pick list shows the picker where each part number and quantity is located (pallet, expiry date, shipment reference). The picker confirms or adjusts the proposal (e.g. short pick, or issuing from a different pallet).
3. Goods Dispatch Note (GDN) — records the pallet(s) actually issued, copied from the confirmed pick list. On posting, stock is deducted per pallet; the system rejects any issue exceeding the balance of the specified pallet. Pallet-level balances can never become negative.

Proposed quantities on a pick list are reserved for that pick list until the GDN is posted or the pick list is cancelled. Deviations between proposed and actually issued quantities (short picks, pallet substitutions) are recorded for audit purposes.

Mode 2 — Product-level locations (factory warehouses):

Pallet-level stock keeping is not required; goods are stored freely within the warehouse and stock is tracked at product level only.

1. Material Request (MR) — the user specifies part number and quantity. On creation, the requested quantity is allocated (reserved) from available stock for that MR, and is no longer shown as available to other requests.
2. GDN — the MR is converted directly into a GDN; on posting, the allocated stock is issued and deducted from inventory.
3. Cancellation — if the MR is cancelled before issue, the allocation is released and the reserved stock returns to available inventory.

Rules:

- The issuance mode is a configuration attribute of each storage location, not hard-coded by location type.
- Stock allocation applies in both modes: at pick-list creation for pallet-tracked locations, and at MR creation for product-level locations.
- Both MR and Pick List are numbered documents under the standard document numbering scheme.
- Stock reconciliation continues to operate per location; pallet numbers are visible in reconciliations of pallet-tracked locations, and pallet removals are logged.

6.2.3 Pallet Number Master

Requirement: The system shall maintain a Pallet Number Master, per warehouse, through which pallet numbers are controlled for all stock transactions.

1. Master maintenance - Authorized users shall create, update, and deactivate pallet records in the Pallet Number Master. Each record shall hold the pallet number, an optional description/location reference, and a status of Active or Inactive.
2. Status control - Only Active pallets shall be available for selection on new transactions — GRN receipts, stock reconciliation lines, and Pick List/GDN issuance. Inactive pallets shall be excluded from all new-transaction selection lists and from FIFO pick proposals, but shall remain available for viewing, reporting, and audit queries.
3. Live-balance guard. A pallet holding live stock shall not be deactivated or re-numbered. The system shall require the pallet balance to be zero (stock moved, issued, or reconciled) before the status is changed.
4. Re-numbering. Re-numbering a pallet shall mark the existing record as superseded and create a new Active record carrying the new number, with a "superseded by" reference retained on the old record. All subsequent transactions shall use the new number.

5. Historical retention. Every transaction shall record the pallet number in use at the time of posting as an immutable snapshot. Deactivating, re-numbering, or removing a pallet shall never alter the pallet number on completed documents or posted stock ledger entries; historical transactions shall remain retrievable under the old pallet number for audit purposes.
6. No hard delete. A pallet record referenced by any transaction shall not be deletable; removal shall be implemented as deactivation. Only pallets with no transaction history may be deleted from the master.
7. Change audit. All Pallet Master changes (creation, status change, re-numbering) shall be logged with the responsible user and timestamp.

Note: This requirement complements sub-section 6.2.2, under which stock is kept and issued down to pallet number.

6.2.4 Demand-Based Stock Allocation (Quotation, Sales Order & MR)

Requirement: The system shall reserve warehouse stock against demand documents through a single allocation mechanism, ensuring stock promised to one customer is not available for issue to another.

1. Single allocation concept. Stock allocation shall be one system capability shared across demand documents. Quotation, Sales Order, and Material Requisition shall be recorded as the source of each allocation (source document type, number, and line) rather than being modeled as separate requisition types.

2. Allocation by document stage:

- Quotation — soft allocation. On creation, a quotation shall place a soft (indicative) reservation on the quoted quantities, shown separately as "soft committed" in stock availability. Soft allocations shall be released automatically when the quotation expires (valid-until date), is cancelled, or is converted.
- Sales Order — hard allocation. On creation, or on conversion from a quotation, a sales order shall place a hard allocation on the ordered quantities. Hard-allocated stock is excluded from available-to-promise for all other demand.
- Material Requisition — carry-forward or new. An MR raised against a sales order shall carry that order's allocation forward by reference (no second allocation). A stand-alone MR shall allocate on creation, as per FR-XX (Goods Issuance).
- Sales Invoice — no allocation. The Sales Invoice is a financial (billing) document only. It shall not reserve, issue, or move stock and shall require no warehouse action. It shall be raised from the delivered quantities of the GDN once goods have reached the customer.

3.Chain conversion without double allocation - Converting Quotation → Sales Order (→ Sales Invoice) shall transfer or release allocations at each step. At no time shall the same quantity be allocated by more than one document in the chain.

4.Release rules - Allocations shall return to available stock when the quotation expires or is cancelled, when the sales order or MR is cancelled, or shall be consumed when the GDN posts and stock physically leaves the warehouse.

5.Availability display - For each product and warehouse, the system shall display on-hand quantity, hard-allocated quantity, soft-committed quantity, and available-to-promise (on-hand – hard allocations).

6.Pallet-tracked warehouses - Sales-chain allocations remain at product level (sales documents carry no pallet knowledge); pallet-level reservation occurs only at Pick List confirmation, per FR-XX (Goods Issuance).

6.2.5 Internal Goods Transfer (GT)

Requirement: The system shall support internal movement of goods — between warehouses and within a warehouse — initiated by Material Requisition and fulfilled by a Goods Transfer (GT) document, using the same issuance pipeline as customer deliveries.

1. MR purpose - A Material Requisition shall carry a purpose of customer issue or internal transfer. An internal-transfer MR shall name the source and destination (warehouse/location) and shall be fulfilled by a GT; a customer-issue MR shall be fulfilled by a GDN. The MR remains a single document type — purpose determines the fulfillment document.
2. GT document - The GT shall be numbered under the standard document numbering scheme and shall record source, destination, and quantities per part — per pallet where pallet-tracked. It shall reuse the same Pick List, FIFO proposal, reservation, and pallet-balance guards as the GDN.
3. Paired ledger postings - On posting, the GT shall record transfer-out entries against the source and matching transfer-in entries against the destination, per pallet where applicable. Source pallet balances shall never go negative. Where source and destination are the same warehouse, the entries shall net to zero at warehouse level while preserving pallet-level precision (re-binning between pallets).
4. Allocation and release. Internal-transfer MRs shall allocate/reserve stock at the source exactly as customer-issue MRs — product-level allocation at MR creation, pallet reservation at Pick List confirmation for pallet-tracked locations. The allocation shall be consumed when the GT posts and released if the MR is cancelled.
5. Destination receipt - Destination pallet numbers on a GT shall exist and be active in the destination warehouse's Pallet Number Master before posting. Pallet numbers may be carried over from the source or re-numbered at receipt, per the Pallet Number Master rules.
6. Financial treatment - A GT shall produce no sales or revenue entries; inventory value moves with the goods. A valuation reclassification entry shall be posted only where warehouses are valued separately.

6.3 Procurement

ID	Requirement
PR-01	Allow departments to raise purchase requisitions with item, quantity, required date, cost center and justification.
PR-02	Route requisitions and purchase orders through configurable amount, category, department and budget-based approvals.
PR-03	Support RFQ, supplier quotation comparison, supplier selection rationale and PO generation.
PR-04	Match supplier invoices to PO and goods receipt using configurable two-way or three-way matching; exceptions require approval.
PR-05	Support partial receipts, supplier returns, cancelled lines, backorders and landed-cost allocation.
PR-06	Show open commitments, overdue deliveries, price variance and supplier performance.
PR-07	Support two PO types: (a) PR-Based PO, created against an approved PR; and (b) Direct PO, created without a PR by an authorized user.
PR-08	Support distinct Local and Import/Offshore procurement processes with configurable fields, workflows, approvals, document formats and controls.
PR-09	Both PR-Based and Direct POs shall follow configurable approval workflow. A PO cannot be released or processed until mandatory approvals are complete.
PR-10	All GRNs shall follow a configurable approval workflow before final posting. Routing may depend on warehouse, supplier, PO type, item category, quantity/value tolerance and exception conditions.
PR-11	Support authorized non-PO receipts/deliveries including FOC, Repair, Return and other approved non-PO movements; record type, reason, reference and responsible user.

Commented [GL14]: What is NCC's mandatory capitalization threshold? If a department raises a PR for a durable tool below this threshold, should the system automatically route it to an Opex GL expense account rather than the Fixed Asset sub-ledger

Commented [GU14R2]: The capitalization threshold should be confirmed with Finance and configured in the ERP.

Above threshold: Route to Capex / Fixed Asset.

Below threshold: Automatically classify as Opex expense.

The system should allow an authorized Finance override with approval and audit trail.

The threshold should be configurable, not hard-coded.

Commented [GL15]: Do Capex requisitions follow a distinct approval workflow path and threshold matrix compared to Opex requisitions? Should the system require a specific 'Capex Flag' or 'Capital Project Code' on the Purchase Requisition to trigger this special approval path?

Commented [GU15R2]: Yes. Capex requisitions should follow a separate approval workflow and threshold matrix from Opex requisitions.

- PR should include a mandatory Capex/Opex classification.
- For Capex, a Capital Project Code should be mandatory.
- The system should route Capex PRs through the relevant Capex approval hierarchy and value thresholds.
- Opex PRs should follow the normal departmental approval workflow.
- The system should maintain budget validation and audit trail for both.

Commented [GL16]: Do we need to maintain a Supplier/Purchase Price Master linked to your Material Master, where contracted raw material and packaging prices are locked by supplier and effective dates? If yes, should a PO with a price variance above a set threshold be hard-blocked or routed for approval?

Commented [GU16R2]: Yes. The ERP should maintain a Supplier/Purchase Price Master linked to the Material Master, including supplier, agreed price, currency and effective dates.

For PO price variances:

Within threshold: Allow PO processing.

... [2]

Commented [GL17]: Does the ERP need to enforce two separate budget checks during requisitioning: a Departmental Operational Budget (Opex) and an Approved Capital Project Budget (Capex)? Should an unbudgeted Capex request be hard-blocked or routed for executive board override?

Commented [GU17R2]: Yes. The ERP should enforce separate Opex and Capex budget checks during requisitioning.

Opex: Check against the approved departmental operational budget.

Capex: Check against the approved capital project budget.

... [3]

Commented [GL18]: what is the supplier selection rationale?

Commented [GU18R2]: Supplier selection should be based on approved supplier status, price, quality, lead time, MOQ, payment terms, and delivery performance.

... [4]

Commented [GL19]: What logic is used to calculate the landed cost? Do you require different document types, numbering sequences, or approval paths for Imports versus Local Purchases (LP)? Additionally, how do you expect to link...

... [6]

Commented [GU19R2]: The ERP should support separate document types and workflows for Imports and Local Purchases (LP).

Local Purchase (LP): PR → PO → GRN → Invoice → 3-way matching → Paym...

... [5]

Commented [GL20]: what KPIs used to measure supplier performance?

Commented [GU20R2]: Supplier performance should be measured using these key KPIs:

On-Time Delivery (OTD) %

Quality / Rejection Rate %

... [7]

PR-12	Support full and partial PO cancellation, selected-line cancellation, and cancellation of remaining unreceived quantity. Received/financially processed quantities shall use return/reversal instead. Retain reason, quantity, user, date/time and approval history.
PR-13	Support configurable PO/GRN document series and templates, including different mandatory fields, layouts, numbering and workflow by document type/series as confirmed by NCC.
PR-14	Lines items of PR may contain several Suppliers. RFQ should be automatically emailed for these suppliers. Quotations received by these suppliers shall be entered manually in to system. The selected suppliers need to be prepared POs i.e. a single PR can have multiple POs. There can be PR Types and PO Types
PR-15	Dual PO Pathways: Supports both PR-Based POs (derived from approved requisitions) and Direct POs (raised directly by authorized buyers), both following configurable approval matrices.
PR-15	Import vs Local Purchase (LP) Workflows: Dedicated document series and approval paths. Import workflows incorporate clearing, freight, duty and insurance agent invoices, allocating landed costs back to original GRNs by weight, volume, or FOB value.
PR-15	Controlled PO Cancellation: Approved/confirmed POs cannot be deleted or revoked. Terminating an approved PO requires a formal PO Cancellation Workflow with managerial approval and a mandatory Reason Code to release open commitments safely.
PR-15	Goods Received Not Invoiced (GRNI): Physical goods receipt posts an accrual to a GRNI Suspense Account, which is automatically reversed upon AP Vendor Invoice posting.
PR-15	Supplier Price Master: Maintains contracted prices by supplier, item, currency, and effective dates. PO price variances above a configurable threshold trigger workflow approval rather than an immediate hard block.
PR-15	Supplier Performance Scorecard: Tracks supplier KPIs including On-Time Delivery (OTD) %, Rejection Rate %, Lead Time Performance, Price Variance, and MOQ Compliance.
PR-15	Capex vs Opex Requisitions: Enforces separate budget checks. Requisitions above the configurable capitalization threshold require a Capital Project Code and route through the Capex approval hierarchy. Unbudgeted Capex requests route for Executive Board override.

6.4 Production Planning & Manufacturing Execution

ID	Requirement
PD-01	Maintain version-controlled multi-level BOM recipes and routings for raw materials (RM), semi-finished goods (SFG) and finished goods (FG), including effective dates, yield, standard quantities, scrap assumptions and approval status.
PD-02	Create production plans and production orders from forecast, sales demand, stock targets or planner entry.
PD-03	Issue materials using approved BOM quantities, with controlled over-issue and Are substitutions strictly 1-to-1 (e.g., swap Ingredient A for Ingredient B directly), or do you have recipe-ratio changes (e.g., if you swap A for B, you must also adjust the standard quantities of ingredients C and D)? substitute-material authorization.
PD-04	Record finished and semi-finished output, co-products, by-products, scrap, rework, downtime and material variances.
PD-05	Update WIP, finished stock and production cost from posted production transactions.
PD-06	Provide production order status, planned vs actual consumption/output, yield, variance and closure control.
PD-07	Explode multi-level BOM recipes to calculate RM demand through SFG stages, while preserving the approved recipe version used for each production order.
PD-08	Production inventory movement shall explicitly track Raw Material -> Work in Progress -> Finished Goods with quantity, batch, order, location and cost traceability.
PD-09	An initial Production Planning prototype shall be demonstrated to NCC; feedback and required changes shall be incorporated before finalizing the Production solution.
PD-10	Machine Execution Tracking: Tracks real-time input, output, and wastage for specific shop floor machines: Soya Machine 2, Packeting 2, Pasta 1, and Sachet Packet Machine 1, automatically calculating Yield % and Wastage %.
PD-11	Material Substitutions: Supports both 1-to-1 and recipe-ratio substitute materials. Actual production run costs are evaluated at the substitute's valuation, while the cost delta is posted separately as a Material Substitution Variance on the Production Cost Variance Report.
PD-12	Standard Overhead Absorption: Indirect factory overheads (rent, electricity, depreciation) are absorbed into finished goods costs using Static Standard Absorption Rates configured in the BOM routing. Month-end variance between total absorbed overheads and actual GL utility invoices is captured in an Overhead Variance account.
PD-13	WIP Stage of Completion: Automatically updates the completion percentage of a production order as shop floor supervisors confirm operational milestones (e.g., Mixing, Extruding, Packaging) in the routing module.

Commented [GL21]: 2026-09-16 Factory Visit feedback: According to Mr. Ruwan, there are Machines such as 'Soya Machine 2, Packeting 2, Pasta 1, sachet packet machine 1. Each machine will have input, output and wastage. System should be able to capture the input, output and wastage for each machine

Commented [GU21R2]: The ERP should support **machine-level production tracking**. Each machine should capture:
Input quantity
Output quantity
Wastage/Scrap quantity
 Production date/time
 Machine
 Production Order/Batch
 The system should automatically calculate **yield % and wastage %** and include these in production and variance reports.
 Machines include: **Soya Machine 2, Packeting 2, Pasta 1 and Sachet Packet Machine 1.**

Commented [GL22]: What specific logics we need to follow here? Eg. what is the logic to calculate the projected on-hand inventory at the end of a period?

Commented [GU22R2]: The ERP should support Standard Reorder Point (ROP) planning, based on Safety Stock + Lead-Time Demand, rather than relying only on simple Min/Max levels.
 However, the system should also support Min/Max planning as an optional method for selected items where appropriate.
 The planning logic should be configurable at item/category level, because different raw materials and packaging materials may require different planning methods.
 For example, critical raw materials with variable consumption should use ROP planning, while some low-value or regularly purchased packaging materials may use Min/Max levels.

Commented [GL23]: How should we handle substitute material? When an approved substitute material is issued to a production order, should the system automatically recalculate the actual batch cost based on the substitute's valuation, or should it flag the cost difference as a standard price/material variance on the Production Cost Variance Report?

Commented [GU23R2]: The ERP should support approved substitute materials through the BOM/Production Order process.
 When a substitute is issued:
 The system should use the substitute material's actual valuation cost for actual production cost.
 The difference between the standard/BOM material cost and substitute cost should be separately captured as a Material/Substitution Variance in the Production Cost Variance Report.
 Substitute usage should require authorized approval and maintain an audit trail. This gives NCC both accurate actual batch costing and clear visibility of the cost variance caused by substitution.

Commented [GL24]: Are substitutions strictly 1-to-1 (e.g., swap Ingredient A for Ingredient B directly), or do you have recipe-ratio changes (e.g., if you swap A for B, you must also adjust the standard quantities of ingredients C and D)?

Commented [GU24R2]: The ERP should support **both 1-to-1 substitutions and recipe-ratio substitutions**.
1-to-1: Ingredient A can be directly replaced by Ingredient B.
Ratio-based: Substituting A with B may require automatic adjustment of quantities for other ingredients such as C and D.

Commented [GL25]: Are you referring to actual vs theoretical yield here?

Commented [GU25R2]: Yes, partly. But they are two separate concepts.
Substitution: Changing one ingredient/material for another in the recipe/BOM, including ratio changes.
Actual vs. Theoretical Yield: Comparing the quantity that *should* be produced according to the recipe with the quantity actually produced.

PD-14	Abnormal Production Variance: Exceptional production losses (e.g., power failures, major machine breakdowns) exceeding tolerance must be escalated via workflow and posted to a dedicated Abnormal Loss GL Account (separate from COGS).
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6.4.1 Master Production Schedule (MPS) Planning Engine

To align finished goods production with forecasted and actual market demand while preventing stock-outs, the system shall implement a standard Two-Step Master Production Schedule (MPS) calculation engine operating over a configurable planning horizon (e.g., 8-week dynamic grid):

Step 1: Projected On-Hand Inventory Calculation

For each period t , the system shall compute projected available inventory using the formula:

$$\begin{aligned} (Projected\ On - Hand)_t &= (On - Hand)_{t-1} + (MPS\ Quantity\ Due)_t - \max(Forecast_t, Customer\ Orders\ Booked_t) \end{aligned}$$

Note: Taking the maximum between forecasted demand and actual booked sales orders guards against unexpected demand spikes.

Step 2: Production Order Triggering & Lead-Time Offsetting

Whenever the projected on-hand inventory drops below zero (or below safety stock thresholds), the system shall automatically trigger a planned MPS production quantity equal to the item's configured order policy/lot size. The MPS Planned Start Date shall be scheduled by offsetting the required date backward by the item's manufacturing lead time.

6.5 Sales & Order-to-Cash (O2C)

ID	Requirement
SL-01	Maintain customers, ship-to addresses, sales channels, price lists, discounts, credit terms, credit limits and tax treatments.
SL-01A	Maintain a customer-wise product price master. Each product price may be defined by customer, customer group, sales channel, unit, quantity break, currency and effective date, with a clear priority sequence and approval-controlled exceptions.
SL-02	Support quotations, sales orders, allocation, delivery, invoicing, <u>returns</u> , credit notes and sales cancellation with reason codes.
SL-03	Validate customer status, credit limit, overdue exposure, price eligibility, stock availability and approval conditions before release.
SL-04	Permit authorized price and discount overrides only through workflow, while retaining the original and approved value.
SL-05	Post revenue, tax, cost of goods sold and inventory movements automatically from approved delivery/invoice events.
SL-06	Provide order fulfillment, backorder, return, customer balance and collection status views.
SL-07	Support full and partial Sales Order cancellation, selected-line cancellation and cancellation of remaining undelivered quantity. Delivered/invoiced quantities shall use return/reversal/credit note. Cancelled quantities release stock reservation and retain reason, user/approver and date/time.
SL-08	Require a Gate Pass for all applicable GDNs before goods leave the premises. Gate Pass shall reference the GDN and retain vehicle/driver/security/authorization/audit details where applicable.
SL-09	Support configurable Sales/Delivery/Invoice document types and series with type-specific mandatory fields, layouts, numbering, approval and print formats as confirmed by NCC.
SL-10	Pre-Billing Dispatch Sequence: Standard sales flow generates the final Tax Invoice and Gate Pass "after" picking and vehicle loading, but "before" the truck departs the warehouse. Delivery rejections on-site are processed via formal Credit Notes upon vehicle return.
SL-11	Standalone Direct Van & Factory Sales: Van Sales and direct factory cash sales execute as single atomic transactions that immediately reduce location stock and synchronously post revenue/COGS journals.
SL-12	Bulk Pick List & Route Gate Pass: Groups multiple customer orders assigned to a specific delivery vehicle/route into a single "Bulk Pick List" (for single-pass warehouse picking) and a consolidated "Vehicle Gate Pass".

Commented [GL26]: What is your exact sequence for dispatch and invoicing? Specifically, Do you invoice before the delivery vehicle leaves the warehouse (pre-billing), or after the physical delivery is confirmed at the customer site (post-billing)

Commented [GU26R2]: Our standard sequence is pre-billing. Once the Sales Order is picked and loaded onto the delivery vehicle, the ERP must generate the final Tax Invoice. The physical invoice will travel with the truck as the primary dispatch document alongside the Gate Pass. If a customer rejects a portion of the delivery on-site, our Finance team will process a formal Credit Note upon the vehicle's return.

Commented [GL27]: Which of your sales channels follow the Pre-Order (Warehouse) Flow (where orders are booked in the field, picked and dispatched from the warehouse, and financial entries are posted at dispatch), and which channels require the Standalone/Direct Invoice Flow (such as Van Sales or direct factory cash sales, where completing the Sales Invoice in the ERP must atomically reduce stock and post the Journal Entry immediately)

Commented [GU27R2]: Our primary channels, including General Trade (Pre-Sales) and Modern Trade (Supermarkets), follow the **Pre-Order Warehouse Flow**. Field orders are booked, then picked and dispatched from our central warehouse. However, we absolutely require the **Standalone/Direct Invoice Flow** for our Van Sales operations and direct Factory/Cash sales. For these channels, completing the Sales Invoice must atomically reduce the vehicle's or factory's virtual stock and post the financial journal entries immediately, without going through a separate warehouse picking workflow

SL-13	Debtor Review & Collection CRM Utility: An embedded CRM module for weekly debtor meetings, allowing collectors to flag invoices as "In Dispute", enter "Promised Payment Dates", and log follow-up notes directly against AR records.
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6.6 SFA Integration

ID	Requirement
SF-01	Exchange approved customer, product, price, promotion and credit-status data from ERP to the SFA platform.
SF-02	Receive field sales orders, collections, returns, visit/route data and approved customer updates from SFA through secured interfaces.
SF-03	Validate inbound SFA data, assign a unique source reference, prevent duplicate processing and return clear acceptance/error status.
SF-04	ERP remains the system of record for stock, price approval, customer credit, invoicing and accounting; SFA does not overwrite ERP-ledger balances.
SF-05	Provide an interface monitor for pending, failed, retried and completed messages with authorized reprocessing.

6.7 Finance, Accounting & Compliance

ID	Requirements
FN-01	General ledger: Configurable chart of accounts, fiscal calendar, journals, recurring entries, allocations We do not require a complex, dynamic allocation engine based on statistical metrics like headcount or floor space at this stage. Instead, we need a standard allocation feature that can distribute specific centralized GL expenses across operational cost centers and branches based on fixed, pre-defined percentage ratios during the month-end close. <u>cost centers, profit centers, budget comparison and period close.</u>
FN-02	Accounts payable: Supplier invoices, debit notes, payment proposals, approvals, withholding/tax, <u>supplier</u> aging and reconciliations.
FN-03	Accounts receivable: Customer invoices, credit notes, receipts, allocations, customer aging, credit control, collections follow-up and write-off approval.
FN-04	Cash and bank: Cashbook, bank accounts, payment vouchers, bank reconciliation, <u>cheque/payment reference</u> control and cash position.
FN-05	Fixed assets: Asset register, capitalization, transfers, depreciation, impairment/disposal controls and asset reports.
FN-06	Inventory and costing: Automatic postings for receipt, issue, transfer variance, COGS, production consumption/output and inventory valuation.
FN-07	Tax & Compliance: Central Tax Master, tax codes/rates, A/R and A/P tax treatment, tax calculation, tax reports, tax invoices and auditable transaction references.
FN-08	Close and reporting : Trial balance, P&L, balance sheet, cash flow, ledgers, aging, reconciliation reports and period lock.
FN-09	Profit/Cost Center Hierarchy: Structured into 6 core operational centers: 1. Soya Manufacturing 2. Pasta Manufacturing 3. Sauce Manufacturing 4. Turkey Import 5. Contract Manufacturing 6. Administration (Centralized Shared Service) Centralized Administration overheads are distributed across the 5 operational profit centers during month-end close using fixed, pre-defined percentage ratios.
FN-10	Account-Level Budget Control: Operational budgets are checked at the individual General Ledger (GL) account level within each Cost Center (e.g., Machine Maintenance under Soya Mfg).
FN-11	Account-Level Budget Control: Operational budgets are checked at the individual General Ledger (GL) account level within each Cost Center (e.g., Machine Maintenance under Soya Mfg).
FN-12	Month-End Soft/Hard Close Sequence: Enforces the subledger lockdown sequence: Inventory & Production > AP > AR > Cash/Bank > Fixed Assets > GL A Soft Close locks operational subledgers against daily entries while keeping GL open for month-end accruals and adjusting journals before the final Hard Close.

Commented [GL28]: Do you require a dynamic General Ledger Allocation engine to automatically distribute monthly expenses across your operational cost centers or branches at month-end based on pre-defined ratios or metrics (such as floor space, headcount or sales volume)

Commented [GU28R2]: We do not require a complex, dynamic allocation engine based on statistical metrics like headcount or floor space at this stage. Instead, we need a standard allocation feature that can distribute specific centralized GL expenses across operational cost centers and branches based on fixed, pre-defined percentage ratios during the month-end close.

Commented [GL29]: [2] Budget Comparisons 2.1 - at what level do you track budgets? is it strictly by cost center or do you need it broken down further by specific projects, material categories or individual GL accounts?

Commented [GU29R2]: We need to track budgets at the individual General Ledger (GL) account level within each specific Cost Center. For example, we want to set and monitor specific budgets for 'Machine Maintenance' or 'Marketing' strictly within the Soya Manufacturing division. This granular breakdown is essential for accurate variance reporting

Commented [GL30]: [1]. 1.1 - How are your cost and profit centers grouped? do they rollup into larger divisions, SBUs etc? 1.2 - Are there centralized cost centers whose expenses need to be allocated across multiple profit centers? 1.3 - do the current cost/profit center codes need to remain same as your legacy systems (like SAP/Right ERP)

Commented [GU30R2]: 1.1 - Grouping: We plan to structure our cost and profit centers strictly by our core operational business lines. The defined centers will be: **Soya Manufacturing, Pasta Manufacturing, Sauce Manufacturing, Turkey Import, Contract Manufacturing, and Administration.**

1.2 - Centralized Allocations: Yes, 'Administration' will act as our centralized shared-service cost center. The overhead expenses captured under Administration will need to be distributed across the other five operational profit centers at period-end.

1.3 - Legacy Codes: We do not currently maintain formal cost or profit center codes in our legacy system. Therefore, we do not need to migrate old codes; we expect the implementation team to propose and configure a new, best-practice coding structure (e.g., alphanumeric logic) for these centers from scratch.

Commented [GL31]: [3]. Period Close 3.1 - what is the exact sequence of your month-end close? 3.2 - do you require a soft close (users can still make adjusting entries) before a hard close (period permanently locked)? 3.3 - when we go live, how many prior periods of historical fin data need to be migrated into new ERP (to sup ur YOY reporting)

Commented [GU31R2]: 3.1 - Close Sequence: Our month-end close sequence will follow a standard subledger lock down. We will close Inventory and Production first, followed by Accounts Payable (AP), Accounts Receivable (AR), Cash/Bank Reconciliations, Fixed Assets, and finally the General Ledger (GL). 3.2 - Soft vs. Hard Close: Yes, we require a soft close. The ERP must allow us to lock operational subledgers (like Inventory, Sales, and Purchasing) to prevent new daily transactions, while keeping the General Ledger open so the Final ... [10]

Commented [GL32]: For Withholding Tax (WHT), should the system automatically calculate, deduct and post WHT at the payment stage and generate standard WHT certificates for your service suppliers?

Commented [GU32R2]: Yes, the system must automatically calculate, deduct, and post Withholding Tax (WHT) for applicable service suppliers. The automation should occur at the invoice or payment stage as dictated by current statute ... [11]

Commented [GL33]: For bank reconciliations, does your bank provide standard MT940 or CSV electronic bank statements, and should the ERP support automated transaction matching?

Commented [GU33R2]: Our banks provide standard CSV exports of our account statements. For Phase 1, we require the ability to upload these CSV files into the ERP's bank reconciliation module to view the bank data side-by-side ... [12]

FN-13	Dedicated Employee Ledger (IOUs): Cash advances (IOUs) and expense settlements are managed in a dedicated Employee Subledger separate from trade AP.
FN-14	Dual Fixed Asset Books & CWIP: Maintains a Corporate Accounting Book (management useful life) and an IRD Tax Depreciation Book (statutory capital allowance rates) supporting Straight-Line and Reducing Balance methods calculated pro-rata by exact days. Capital GRNs post to a CWIP Suspense Account until formal engineering commissioning transfers the balance to the active Asset Register.
FN-15	Tax & Bank Reconciliation: Automatically calculates, deducts, and posts WHT at payment stage, generating WHT certificates. Supports CSV bank statement uploads for side-by-side manual reconciliation against the system bankbook. SVAT functionality is disabled by default for Phase 1.
FN-16	Flat Excel Export Standard (.xlsx): All operational and financial reports must support a 1-click export to a flat, unmerged raw data grid with single-row headers specifically structured for Excel VLOOKUP and pivot tables alongside print-ready PDFs.

6.8 Reports and Dashboards

Audience	Minimum reports and indicators
Operations	Stock on hand, stock aging/expiry, slow moving stock, stock adjustments, order fulfillment, production status, yield and variances.
Procurement	Open requisitions/POs, overdue deliveries, supplier price variance, supplier performance and commitments.
Sales	Daily/monthly sales, channel/customer/product performance, margin, returns, backorders, collections and overdue receivables.
Finance	Trial balance, P&L, balance sheet, cash flow, AP/AR aging, bank reconciliation, inventory valuation, tax and budget variance.
Management	Sales vs target, gross margin, stock cover, inventory value/aging, production efficiency, receivable exposure, cash position and key exceptions.

Reports must support secure filtering, date ranges, drill-down to underlying transactions, export to Excel/PDF as authorized, scheduled delivery where required, and role-based visibility.

7 Validation Requirements

All validations below must be enforced by the iMake OS backend and exposed to users with a clear message. A validation outcome must be one of: Block (transaction cannot continue), Warning with Approval (continues only after authorized approval), or Information (user is informed and the event is logged).

7.1 Materials and Product Master Validations

Validation	System action
Mandatory and unique item identity	Block item creation where item code, description, item type, category, base unit, tax group or valuation settings are missing. Prevent duplicate active items using configured code, barcode and description similarity checks.
Item classification and UOM	Block use of an undefined unit or invalid unit conversion. RM, SFG, FG, packaging, service and non-stock classifications must be selected before activation.
Lifecycle and status	Block inactive, blocked, expired or unapproved materials from new transactions except where a controlled disposition process permits use.
Batch and shelf-life setup	Block batch-controlled or expiry-controlled items from activation without required batch/expiry parameters, including minimum remaining shelf-life rules where configured.
BOM and recipe integrity	Block approval of a BOM recipe with missing components, invalid units, inactive materials, duplicate lines, circular multi-level references, zero/negative quantities, or an invalid effective-date range.
Bulk product updates	Validate every import row for field format, permitted attributes, duplicate values, master-data dependencies and user rights. Reject invalid rows; post only approved valid changes with full upload and change audit.

7.2 Procurement Validations

Validation	System action
Purchase requisition	Block submission without requestor, department, item/service, quantity, required date, cost center

Commented [GL34]: What exact parameters should define a 'duplicate' description?

Should we restrict the duplicate validation strictly to exact barcode/SKU matches, or do you want to define specific nomenclature rules (e.g., Brand + Variant + Size) that the system must parse and validate to prevent duplicates?

Commented [GU34R2]: To maintain a clean Item Master, we want to define specific nomenclature rules (e.g., Category + Brand + Variant + Size/Weight) rather than relying solely on barcodes. The system should ideally concatenate these fields to auto-generate a standard description and validate against it to prevent user entry errors (e.g., blocking the creation of 'Soya Meat 90g' if '90g Soya Meat' already exists). Additionally, the system must enforce a hard block on any exact duplicate Barcodes or SKUs

Commented [GL36]: Are your conversion factors fixed and global (eg. 1 Case always equals 24 Bottles), or do they vary by product (eg. 1 Case of Item X is 12 Bottles, but 1 Case of Item Y is 24 Bottles)

Commented [GU36R2]: Our conversion factors vary by product. The base unit of measure and its specific packaging conversions are defined at the individual Item Master level. When we create a Purchase Order (PO), the system must initiate the transaction by fetching the specific Unit of Measure (UOM) and its unique conversion factor directly from that item's master data, rather than relying on global conversion rules.

Commented [GL35]: Can you define the complete list of Units of Measures required?

Commented [GU35R2]: We will finalize the exact UOM master data template during the design phase. At a minimum, the system must support standard metric weights (kg, g), metric volumes (L, ml), individual unit counts (Each/NOS), and standard outer packaging units (Carton, Box, Pallet). The critical requirement is that the system can handle distinct UOMs for purchasing, stock-keeping, and sales for the same item, with precise conversion rules.

Commented [GL37]: What does your 'controlled disposition process' entail? For example, if a batch of raw material expires, can a Quality Assurance user bypass the system block by extending the expiry date after lab testing?

If so, what workflow approvals are required, and should the system retain the original expiry date for audit trail history?

Commented [GU37R2]: Yes, our controlled disposition process must allow for QA re-testing. If a batch of raw material expires, the system must automatically place it on a hard block to prevent consumption or allocation. However, an authorized Quality Assurance user must have the ability to extend the expiry date if physical testing confirms the material is still viable. This extension must not be a simple field edit; it must trigger a mandatory system workflow approval (e.g., to the QA Manager or Operation Head). Crucially, the ERP must maintain a permanent, unalterable audit trail that retains the original expiry date, logs the newly extended date, captures the mandatory reason code for the change, and records the specific user who executed the override.

	and business justification. Validate the requestor's authority and budget where enabled.
Supplier eligibility	Block PO creation for inactive, blocked, unapproved or expired-compliance suppliers. Validate currency, tax registration, payment terms and supplier-item eligibility where maintained.
Quantity and price	Block zero/negative quantities and invalid units. Warn or route for approval when price exceeds the latest/contract/reference price tolerance or the requested quantity exceeds policy limits.
Approval and commitment	Block release of PR-Based or Direct PO until required approvals are complete; validate approval limit, delegation, cost center and budget/commitment tolerance.
GRN approval and posting [NEW/REVISED]	Block final GRN posting until required GRN approval is complete. Validate PO status, receipt tolerance, duplicate supplier reference, batch/expiry and warehouse authorization.
PO cancellation and Revocation	The system shall strictly prohibit the "Revoke" action or hard deletion of any Purchase Order. To maintain absolute data integrity across the financial audit trail, Accounts Payable ledgers, and inventory forecasting modules, once a Purchase Order is generated in the system, it cannot be permanently removed or deleted by any user, regardless of their permission level
Supplier invoice matching	Enforce two-way or three-way match. Block or route for approval where supplier, PO, receipt, quantity, price, tax, total or duplicate invoice number does not meet configured tolerance.

Commented [GL38]: What are the usual Supplier currencies? What should be the Base Currency (usually LKR where financial ledgers handle)

Commented [GU38R2]: The functional and reporting Base Currency is strictly LKR. Our supplier currencies are LKR, USD, [insert any others, e.g., USD, INR, EUR]. Please ensure the ERP multi-currency module is enabled to capture POs, AP invoices, and bank payments in supplier-specific transactional currencies while maintaining the general ledger in LKR

Commented [GL40]: need to get clarification on 'unauthorized location'

Commented [GU40R2]: To clarify our process: we frequently order packing materials and instruct our suppliers to deliver them directly to our Contract Manufacturing locations rather than our central warehouse. Therefore, the ERP must be configured to treat these registered contract manufacturing sites as **authorized** delivery and inventory locations (e.g., as virtual warehouses).

Commented [GL40R3]: pls explain further on 'Contract Manufacturing Locations' ? Assume these are 3rd party locations?

Commented [GL40R4]: {Reply from Client} - These are Factory sub locations acting as virtual warehouses inside factories

Commented [GL41]: Wha is the reservation logic? When field sales orders are imported from the SFA to the ERP, how should physical inventory be reserved?

7.3 Inventory Validations

Validation	System action
Location and hierarchy [NEW/REVISED]	Block transactions to unauthorized/incompatible warehouses or sub-locations; enforce organizational hierarchy and location rights.
Stock availability	Block negative stock unless a formally authorized negative-stock rule exists. Validate available quantity after allocations, reservations and pending movements.
Batch, serial and expiry	Require batch/serial/expiry capture for controlled items. Block use of unknown, quarantined, blocked, recalled or expired batches; enforce FEFO/FIFO where configured.
GT / MR [NEW/REVISED]	Validate source/destination, item, quantity, user rights and configured approvals for Goods Transfer and Material Request.
Adjustments and counts	Require reason code, count reference and approval for stock/value adjustments. Block adjustment in a closed period or where count variance exceeds the authorized tolerance without approval.
Valuation and posting	Block a stock transaction when mandatory valuation, GL mapping, tax or costing data is absent. Ensure each posted inventory event creates the required stock and finance ledger impact.

7.4 Sales Validations

Validation	System action
Customer eligibility	Block order/delivery/invoice for inactive, blocked or unapproved customers, or where mandatory billing/ship-to, tax and payment terms are incomplete.
Customer-wise price master	Validate customer/customer group, product, UOM, currency, effective date and quantity break. Select the highest-priority approved valid price; block missing, expired or overlapping price rules unless an authorized override is approved.
Credit control	Block or route for approval when the order/delivery would exceed credit limit, overdue-days policy, credit hold, cheque return policy or receivable risk threshold.
Sales Order cancellation [NEW/REVISED]	Permit full/partial cancellation only for cancellable undelivered quantities; release reservations and retain mandatory reason, user/approver and date/time.
Gate Pass [NEW/REVISED]	Block physical dispatch for applicable GDNs until the required Gate Pass is issued/authorized.
Order quantity and availability	Block zero/negative quantity, invalid UOM, cancelled item, invalid delivery date or insufficient allocatable stock unless a backorder/approval rule applies.
Discount, promotion and return	Validate discount/promotion eligibility, stacking and maximum discount. Require reason, original invoice/order reference and return condition for returns and credit notes.
Invoice integrity	Block duplicate invoice references, invalid tax treatment, incomplete delivery reference or invoice creation in a closed period. Post revenue, tax, COGS and stock only from approved transaction status.

7.5 Finance Validations

Validation	System action
Accounting period	Backdated operational transactions are not allowed. Posting to closed/locked periods is blocked. Any statutory finance-only exception, if required, must be separately approved and configured by NCC.
Journal completeness	Block unbalanced journals, missing date/reference/description, invalid account/cost center, inactive account, unauthorized company or zero-value lines where not permitted.
Chart of accounts and dimensions	Validate account type, permitted cost/profit center, project/department rules, tax code, currency and mandatory dimensions according to the posting rule.
Duplicate and source control	Block duplicate supplier invoices, duplicate payment references and duplicate receipt allocations. Prevent manual journal posting to controlled subledger accounts except through authorized adjustment workflow.
Payment and bank control	Validate approved invoice/payment proposal, beneficiary/bank data, payment method, available approval limit and bank account status. Require dual control for payment release where policy requires.
Subledger reconciliation	Block period close until AP, AR, inventory, fixed assets and bank balances reconcile to their GL control accounts, or an approved documented exception is recorded.
Tax and fixed assets	Validate tax codes/rates and statutory fields. Block asset capitalization, transfer, disposal or depreciation without asset class, date, value and required approval.

Commented [GL42]: to get clarification on 'unauthorized company'; Is Nawaloka Consumer Care (NCC) structured as a single legal entity with multiple operational branches, or are there multiple distinct legal entities requiring separate tax registrations? can you clarify?

Commented [GU42R2]: Nawaloka Consumer Care (NCC) is structured as a **single legal entity** under one corporate tax registration (TIN/VAT). Our operations (Soya, Pasta, Sauce manufacturing, Contract Manufacturing, and Turkey imports) operate as internal branches/divisions, not separate statutory companies.

Commented [GL43]: (a). Do you require the ERP to maintain dual Fixed Asset books (a Corporate Accounting book and a Tax Depreciation book) with independent depreciation rates? (b). Which specific depreciation methods must be supported out of the box (eg. Straight-line, Reducing Balance) and how should depreciation be calculated for partial months (eg. pro-rata based on exact days, or full-month starting in the month of acquisition)

Commented [GU43R2]: (a) Yes, we require the ERP to maintain dual Fixed Asset books. We need a Corporate Accounting book (based on management's estimated useful life) and a separate Tax Depreciation book configured with the statutory capital allowance rates mandated by the Inland Revenue Department (IRD).
(b) The system must support both Straight-Line and Reducing Balance methods out of the box. For partial months, depreciation must be calculated pro-rata based on the exact number of days the asset was in use during the month of acquisition and disposal.

8 Key Master Data

Master data domain	Core records
Organization	Company, branches, plants, warehouses, sublocations/bins, departments, cost centers, profit centers, fiscal periods.
Product and materials	Items, categories, units, barcodes, batches, shelf life, tax group, valuation parameters, BOMs, routings.
Supplier-to-Product Mapping [NEW/REVISED]	Supplier, Item/products, Supplier Item Code, Purchase UOM, Purchase/Reference Price, status and effective date, lead time
Business partners	Suppliers, customers, contacts, addresses, payment terms, tax IDs, credit limits, bank details and Local/Import operation type.
Tax Master [NEW/REVISED]	Tax types, A/R and A/P tax codes, rates, effective dates, input/output treatment and document rules.
Commercial	Price lists, discounts, promotions, sales channels, delivery terms, payment terms.
Finance	Chart of Accounts, posting rules, tax mapping, banks, payment methods, asset classes and budgets.
Controls / Document Series [NEW/REVISED]	Approval matrices, reason codes, tolerances, user roles, delegation rules, document numbering series, templates and workflow-by-document-type

9 Integrations and Data Exchange

Interface	Direction	Key data and control
SFA platform	Two-way	ERP publishes customer/product/price/credit data; SFA submits orders, collections, returns and route data. API logs, source IDs, retry and exception handling are required.
Banking or payment service	As available	Payment file export/import and bank statement import subject to bank format confirmation.
Email / notification service	Outbound	Approval, exception and scheduled-report notifications.
Migration sources	Inbound one-time and controlled cutover	Approved opening masters, opening stock with value/batch, open PO/SO, open receivables/payables, GL balances and fixed assets.
Legacy SAP / prior systems [NEW/REVISED]	Reference only / no transactional migration	The ERP shall be implemented as a fresh system. Historical SAP/legacy transactional data shall not be migrated unless separately approved. Agreed opening masters may be loaded for setup.

10 Controls and Approvals

Control area	Requirement
Segregation of duties	A user must not approve their own requisition, PO, payment, journal, price override or stock adjustment unless explicitly authorized by policy.
Approval workflow	Configurable workflows shall cover PR, PR-Based PO, Direct PO, GRN, Goods Return, MR, GT, BOM/recipe, production variance, Sales Order, cancellation, price/discount override, credit override, bulk product update and document revoke.
Decision actions [NEW/REVISED]	Approvers shall be able to Approve, Reject or Return for Correction. Rejection/return reason is mandatory and retained in history.
Document integrity	Posted documents cannot be silently edited/deleted. Controlled revoke/versioning, reversal, return, credit note or adjustment shall be used as appropriate.
No backdating [NEW/REVISED]	Operational transactions shall not be backdated; permitted transaction dates follow the configured current business-date rules.
Period control	Only finance-authorized users may open/close periods. Back-dated postings after close require approved exception handling.
Audit trail	Track creator, modifier, approver, timestamp, old/new values where relevant, source system and linked documents.
Exception control	Negative stock, credit override, non-PO invoice, invoice mismatch, expired stock release, and abnormal production variance require configured action and approval.

Commented [GL44]: Need further explanation on 'abnormal production variance' that requires a workflow escalation

Commented [GU44R2]: By 'abnormal variance,' we mean exceptional production losses caused by events like machine breakdowns, power failures, or major quality rejections, as opposed to normal daily operational waste. If floor staff record a variance that exceeds a set percentage, the system must escalate it for managerial approval. Once approved, the ERP should ideally post this specific variance to an 'Abnormal Loss' GL account, keeping it separate from our standard Cost of Goods Sold (COGS).

11 Workflow Management

The ERP will include configurable workflow management so approvals and exception decisions are handled consistently, visibly and without manual follow-up outside the system.

ID	Requirement
WF-01 [NEW/REVISION]	Configure workflows for master data, bulk product updates, PR, PR-Based PO, Direct PO, GRN, Goods Return, MR, GT, supplier invoice exceptions, stock adjustments, BOM/recipes, production variances, Sales Order, cancellations, price/discount overrides, credit overrides, payment proposals, journals and document revoke.
WF-02	Route requests using configurable conditions such as company, department, location, document type, category, amount, product group, customer risk and exception reason.
WF-03	Support sequential and parallel approval steps, approval limits, approver groups, time-bound delegation, escalation and reminders.
WF-04	Show a user worklist with pending, approved, rejected, returned and escalated requests, including links to the underlying document and full decision history.
WF-05	Prevent release or posting until mandatory workflow approval is complete, except for explicitly authorized emergency procedures with audit trace.

12 Finance Department - ERP Reporting Requirements

This section outlines the comprehensive list of financial and operational reports required by the Finance Department for the new ERP system implementation. **Crucial Requirement:** All reports listed below must support a 1-click export to Excel (.xlsx) and PDF formats, with column headers clearly defined to support pivot tables and VLOOKUP functions.

12.1. Core Financials (General Ledger)

- **Trial Balance:** Summary (account level) and detailed (sub-account level) views.
- **Statement of Financial Position (Balance Sheet):** As of a specific date, with comparative options (e.g., current year vs. prior year).
- **Statement of Profit or Loss (Income Statement):** Filterable by month, quarter, and year-to-date (YTD).
- **Statement of Cash Flows:** Operating, investing, and financing activities.
- **General Ledger Detail Report:** Complete drill-down of all journal entries and transactions within a specified period for audit purposes.
- **Chart of Accounts (COA) Listing:** Master list of all active and inactive accounts.

Commented [GL45]: To ensure your exports are completely pivot-table and VLOOKUP-friendly, do you agree that the ERP should generate two distinct layouts for every report?

1 - A formatted, print-ready layout for PDF/Screen viewing.
2 - A flat, raw data grid layout (with no merged cells, empty lines, or nested headers) specifically for the 1-click Excel export?

Commented [GU45R2]: Yes, we completely agree. In fact, for most of our operational and financial reports, the flat, raw data grid is our primary requirement. Please ensure that the system's architecture prioritizes clean, unmerged Excel data dumps over complex on-screen formatting, as our teams rely heavily on secondary Excel analysis

12.2. Order-to-Cash (Accounts Receivable & Sales)

Invoicing List (Sales Register)

- **Purpose:** Track all issued invoices, audit daily/monthly sales, and verify tax calculations.
- **Required Data Columns:** Invoice Date, Invoice Number, Customer Name/ID, Gross Amount, Tax/VAT Amount, Net Amount, Due Date, Current Status (Open, Paid, Voided).
- **Required Filters:** Date range, Customer, Cost Center/Branch, Payment Status.

Pending Delivery List (Open Sales Orders)

- **Purpose:** Forecast incoming revenue, manage inventory allocations, and identify dispatch bottlenecks.
- **Required Data Columns:** Sales Order Number, Order Date, Customer Name, Item Description, Quantity Ordered, Quantity Delivered, Quantity Pending, Expected Dispatch Date.
- **Required Filters:** Expected Date range, Customer, Warehouse/Location.

AR Aging Report (Summary & Detailed)

- **Purpose:** Track outstanding balances categorized into time buckets.
- **Required Data Columns:** Customer Name, Current, 30 Days, 60 Days, 90 Days, 120+ Days balances, Total Outstanding.
- **Required Filters:** Date as of, Customer, Region/Branch.

Debtor Review & Collection Forecast

- **Purpose:** Support weekly debtor meetings with targeted collection insights.
- **Required Data Columns:** Customer Name, Outstanding Balance, Promised Payment Date, Last Contact Date, Dispute Status, Notes.
- **Required Filters:** Customer, Account Manager/Collector.

Credit Note List (AR)

- **Purpose:** Audit reductions in sales and ensure accurate tax adjustments for customer returns.
- **Required Data Columns:** Credit Note Date, Credit Note Number, Customer Name, Original Invoice Reference Number, Reason Code, Total Amount, Tax Adjustment.
- **Required Filters:** Date range, Reason Code.

Sales Analysis by Item (Item-Wise Profitability) - Monthly, Quarterly & Annually

- **Purpose:** To analyze margins at the product level and identify top-performing or underperforming inventory items over specific periods.
- **Required Data Columns:** Item Code, Item Description, Quantity Sold, Gross Sales Value, Discount Amount, Net Sales Value, Cost of Goods Sold (COGS), Gross Profit Margin (\$), Gross Profit Margin (%).
- **Required Filters:** Date Range (Monthly, Quarterly, Annually), Item Category/Group, Customer, Branch/Location.

12.3 Procure-to-Pay (Accounts Payable & Purchasing)

GRA List (Goods Received Accrual / GRN List)

- **Purpose:** Track inventory or services received but not yet invoiced by the supplier (month-end accruals).
- **Required Data Columns:** GRA/GRN Number, Date Received, Supplier Name, Linked PO Number, Item Description, Quantity Received, Estimated Value, Invoice Status.
- **Required Filters:** Date range, Supplier, Match Status (Pending vs. Matched).

AP Aging Report (Summary & Detailed)

- **Purpose:** Track liabilities and vendor balances categorized by due dates.
- **Required Data Columns:** Vendor Name, Current, 30 Days, 60 Days, 90+ Days balances, Total Owed.
- **Required Filters:** Date as of, Vendor.

Credit Note List (AP)

- **Purpose:** Track supplier refunds and adjustments.
- **Required Data Columns:** Credit Note Date, Credit Note Number, Supplier Name, Original Invoice Reference Number, Reason Code, Amount.
- **Required Filters:** Date range, Reason Code.

Commented [GL46]: Do you operate under the SVAT scheme for your raw material imports or local sales? If yes, does the ERP need to generate and manage SVAT Credit Vouchers, SVAT credit letters and produce the statutory IRD monthly SVAT upload files?

Commented [GU46R2]: Currently, Nawaloka Consumer Care is not registered under the SVAT (Simplified Value Added Tax) scheme. Therefore, we do not require the system to generate SVAT Credit Vouchers, SVAT credit letters, or the statutory IRD monthly SVAT upload files for this implementation phase. However, the ERP's tax engine should be flexible enough to allow SVAT configuration in the future should our registration status change

Commented [GL47]: When loading delivery vehicles for a specific route, does the system need to generate a combined Gate Pass/Bulk Pick List that groups multiple customer orders together?

Commented [GU47R2]: Yes, this is a critical requirement for our distribution process. When assigning multiple customer orders to a single delivery vehicle or route, the system must generate a combined 'Bulk Pick List'. This allows the warehouse team to pick the total required quantities of each SKU efficiently in one go, rather than order-by-order. Additionally, the system must generate a consolidated Gate Pass that lists the total vehicle load for security sign-off

Commented [GL48]: To populate the Debtor Review and Collection Forecast, do we need to build a basic Credit and Collections CRM utility where collectors can select a customer, flag invoices as 'In Dispute', input a 'Promised Payment Date' etc. and save log notes directly in the ERP database?

Commented [GU48R2]: Yes, building this basic Credit and Collections utility is a critical requirement. Because our finance team conducts Weekly Debtor Meetings, allowing collectors to flag specific invoices as 'In Dispute', input 'Promised Payment Dates', and save log notes directly within the ERP will eliminate our reliance on manual trackers. This will provide real-time visibility during our weekly reviews and significantly improve the accuracy of our collection forecasts.

Commented [GL49]: similar to GRNI (goods received not invoiced)? kept as a suspense a/c

Commented [GU49R2]: Yes, this is correct. We require a standard GRNI (Goods Received Not Invoiced) suspense account to accrue the liability upon physical receipt of goods, which will then be reversed and transferred to Accounts Payable once the supplier invoice is processed

Commented [GL50]: 2026-09-16 Warehouse Visit feedback: According to Mr. Suren, there can be instances where goods will be directly delivered to the Factory, by passing the Warehouse. According to Mr. Ruwan, goods of some shipments arrive damaged/damped. Need a method to segregate this unusable material when accepting goods in to Factory

Cash Requirements Report

- **Purpose:** Forecasts the cash needed to cover upcoming due invoices over the next 1 to 4 weeks.
- **Required Data Columns:** Vendor Name, Invoice Due Date, Amount Due, Priority Status.
- **Required Filters:** Due Date Range, Vendor.

Commented [GL51]: Should the Cash Requirements Report calculate cash needs based strictly on posted AP supplier invoices, or should it also project future cash commitments by factoring in active, un-invoiced Purchase Orders based on their expected delivery dates?

Purchase Analysis by Item - Monthly, Quarterly & Annually

- **Purpose:** To track procurement volume and pricing trends to assist with vendor negotiations and cost management.
- **Required Data Columns:** Item Code, Item Description, Total Quantity Purchased, Average Unit Cost, Total Purchase Value, Primary Vendor.
- **Required Filters:** Date Range (Monthly, Quarterly, Annually), Item Category, Supplier.

Commented [GU51R2]: For this initial implementation phase, the Cash Requirements Report should calculate cash needs based strictly on posted Accounts Payable supplier invoices. We want to manage our immediate cash disbursements based on realized liabilities only; we do not need the system to project un-invoiced PO commitments at this time

12.4 Cash & Bank Management

- **Bank Reconciliation Statement:** Compares system cash balances with actual bank statements.
- **Daily Cash Position Report:** Real-time snapshot of liquid funds across all bank accounts.
- **Petty Cash Expense Report:** Summarized breakdown of small, daily cash disbursements.

Cheque Register Report - Daily Cheque Printing List, Bank Release and Unrealized

- **Purpose:** To manage daily treasury operations, track printed/issued cheques, and monitor uncashed (unrealized) cheques for bank reconciliation.
- **Required Data Columns:** Cheque Date, Cheque Number, Payee Name, Payment Voucher Reference, Amount, Bank Account Drawn From, Cheque Status (Printed, Released, Realized, Unrealized, Cancelled).
- **Required Filters:** Date Range, Bank Account, Cheque Status.

Commented [GL52]: How will employee IOUs be transacted in the system? Do you require an Employee Ledger where advances are posted, or will these be handled as standard accounts payable vouchers mapped to a temporary 'Employee Receivable' GL account? Also, will employees submit their expense settlements directly in the ERP, or will a finance user post them manually?

Cash IOU List by Employee Vs Settlement Details Report

- **Purpose:** To track temporary cash advances (IOUs) issued to employees and monitor their settlement status to ensure company funds are accurately accounted for.
- **Required Data Columns:** IOU Date, IOU Reference Number, Employee Name/ID, Department, Advance Amount, Settlement Date, Settled Amount (via receipts/bills), Outstanding Balance, Status (Open, Partially Settled, Closed).
- **Required Filters:** Date Range, Employee Name/ID, Status (Open vs. Closed), Department.

Commented [GU52R2]: We require a dedicated Employee Ledger (or Subledger) to track advances (IOUs) and settlements distinctly by employee, rather than mixing them into standard trade payables. For expense settlements, employees will submit their physical/external claim forms, and a designated Finance user will manually post the settlement entries in the ERP to clear the respective IOUs.

12.5 Inventory & Production Management

Stock Movement & Valuation Report

- **Purpose:** Track the flow of inventory (inwards and outwards) and calculate the closing stock value for the balance sheet (e.g., FIFO or Weighted Average).
- **Required Data Columns:** Item Code, Item Description, UOM, Opening Qty, Received Qty, Issued/Sold Qty, Closing Qty, Unit Cost, Total Value.
- **Required Filters:** Date range, Location/Warehouse, Item Category.

Commented [GL53]: Do you want the ability to freely toggle the costing configuration back and forth whenever you please (eg. switching from FIFO to Weighted Average and back mid-stream)? If so, you are strongly advised against this since it is a high-risk technical and compliance hazard.

Commented [GL54]: what should be the Base UOM. (Usually, Purchasing UOM differs from stock keeping UOM)

Inventory Aging & Obsolescence Report

- **Purpose:** Identify slow-moving, dead, or expired stock that may require write-offs or discounting.
- **Required Data Columns:** Item Code, Description, Qty on Hand, Unit Cost, Total Value, Age Buckets (0-30, 31-90, 91-180, 180+ days).
- **Required Filters:** Location/Warehouse, Item Category.

Commented [GU54R2]: The Base UOM (Stock Keeping Unit) must be defined as the **smallest physical unit of measure** in which the item is consumed in production, issued from the warehouse, or sold to customers (e.g., 'Kg' or 'Liter' for raw materials; 'Piece', 'Packet', or 'Bottle' for finished goods). We understand that our Purchasing UOM will frequently differ from this base unit (e.g., ordering in 'Cartons', 'Cases', or 'Metric Tons'). To handle this, the ERP must be configured to automatically convert these bulk purchasing units down into the Base UOM immediately upon Goods Receipt, utilizing the item-specific UOM conversion metrics defined in the Item Master.

Physical Stock Variance (Stock Take) Report

- **Purpose:** Reconcile physical inventory counts against system records to identify shrinkage or data entry errors.
- **Required Data Columns:** Item Code, System Qty, Physical Count Qty, Variance Qty, Unit Cost, Variance Value, Reason Code.
- **Required Filters:** Date of Count, Location/Warehouse.

Commented [GL55]: How should the Production Cost Variance Report handle standard vs. actual cost exceptions?

Production Cost Variance Report (Standard vs. Actual)

Commented [GU55R2]: The Production Cost Variance Report must provide a granular breakdown comparing the Standard BOM cost against the Actual production cost. It should categorize exceptions by separating Material Yield (Quantity) Variances from Overhead/Labor Variances. Any production order where the actual cost deviates from the standard cost by more than our predefined acceptable tolerance (e.g., +/- 5%) must be automatically flagged and highlighted as an exception for immediate management review

- **Purpose:** Analyze manufacturing efficiency by comparing standard expected costs of production to actual costs incurred (materials, labor, and overhead).
- **Required Data Columns:** Production Order No, Finished Good Code, Component Item/Cost Type, Standard Qty/Cost, Actual Qty/Cost, Variance Amount, Variance %.
- **Required Filters:** Production Order, Date range, Department.

Work in Progress (WIP) Valuation

- **Purpose:** Calculate the value of incomplete goods currently on the production floor for accurate month-end financial reporting.
- **Required Data Columns:** Production Order No, Item Description, Stage of Completion, Material Cost Incurred, Labor/Overhead Applied, Total WIP Value.
- **Required Filters:** As of Date, Production Line/Department.

12.6 Management, Assets & Compliance

- **Budget vs. Actual Variance Report:** Compares planned budgets against actual spending.
- **Departmental/Cost Center Profitability:** Income and expenses segmented by specific business units.
- **Fixed Asset Register & Depreciation Schedule:** Complete list of capitalized assets, carrying values, and calculated depreciation.
- **Input and Output Tax/VAT Report:** Summarizes taxes collected on sales and paid on purchases.
- **System Audit Trail Report:** Security and compliance log tracking transaction creations, edits, approvals, and voids.

13 Non-Functional Requirements

Area	Requirement
Performance	Common searches and transaction screens should respond within 3 seconds under normal load. Backend pagination and filtering are mandatory for large lists.
Availability	Target availability, maintenance windows and recovery objectives will be agreed during technical design.
Security	Role-based access, least privilege, strong authentication policy, encrypted transport, session protection and audit logging.
Usability	Responsive, consistent web UX; live-search dropdowns; concise forms; clear validation messages; avoid unnecessary screen reloads.
Scalability	Solution must support growth in users, transactions, items, customers, warehouses and history without redesign of core ledgers.
Data retention	Retain transactional and audit data according to Nawaloka Consumer Care policy and applicable statutory requirements.
Backup and recovery	Documented backup, restoration test, recovery ownership and cutover rollback approach before go-live.
Supportability	Configurable business rules, error logs, interface monitor, master data governance and user support documentation.

14 Data and Single Source of Truth Principles

The ERP will own the official operational and financial balances. The stock ledger will derive from approved inventory, production, purchase, sales and adjustment transactions. The finance ledger will derive from approved accounting and integrated operational postings. Reports must read from governed ERP data or an approved reporting layer that is reconciled to it.

- Master records use unique IDs and controlled lifecycle states: draft, pending approval, active, blocked and inactive as applicable.
- Each integration message uses a source system identifier and idempotency key to avoid duplicate transactions.
- Data changes must be traceable; direct database updates to transactional balances are prohibited outside controlled support procedures.

Commented [GL56]: HR/payroll is processed outside the ERP. How will the system know the actual labor cost of a specific production run? If the actual overhead costs (electricity, factory rent, supervisor salaries etc) are posted only as monthly GL invoices, how do they get allocated to individual production orders to compute a true actual cost variance?

Commented [GU56R2]: Since payroll is processed externally and utility bills are posted monthly, we will utilize Standard Overhead Absorption Rates. The Bill of Materials (BOM) or routing for each item will include an estimated standard cost for direct labor and factory overheads (calculated as a fixed LKR rate per machine hour, labor hour, or produced unit). As production orders are completed, the system will apply these standard rates to absorb overheads into the finished goods inventory value. At month-end, Finance will compare the total 'absorbed' costs against the actual incurred expenses in the GL (payroll, electricity) to calculate the over/under-absorption variance at the Cost Center level, rather than trying to track actual utility bills down to individual daily production runs.

Commented [GL57]: How should indirect factory overheads (such as rent, electricity, depreciation) be absorbed into the cost of finished goods? Do you want a static standard absorption rate defined in the BOM routing, or do you require a month-end allocation engine to distribute actual GL expenses to the production orders based on actual machine hours or output quantity?

Commented [GU57R2]: We require static standard absorption rates defined directly within the BOM or production routing. Indirect factory overheads (such as rent, electricity, and depreciation) should be absorbed into the finished goods cost at this predetermined rate based on expected output or standard machine hours. At month-end, the variance between the total absorbed overheads and the actual incurred GL expenses will be captured in a specific overhead variance account. This method ensures our daily inventory valuation is immediate and predictable, allowing us to cost sales in real-time without waiting for utility bills.

Commented [GL58]: How will the system determine the 'Stage of Completion' for a production order? Do you expect the system to calculate this automatically as shop floor supervisors confirm progress through the BOM routing stages, or will supervisors manually assign an estimated percentage of completion (e.g., 50% complete) to the order?

Commented [GU58R2]: The system must calculate the 'Stage of Completion' automatically based on operational milestones. As shop floor supervisors confirm the completion of specific stages in the BOM routing (e.g., Mixing, Extruding, Packaging) via the shop floor control module, the ERP should automatically update the completion percentage based on the pre-defined weight or standard time of that operation. This eliminates subjective guesswork and ensures an accurate, audit-compliant Work-In-Progress (WIP) valuation at period end.

Commented [GL59]: When a capital purchase order is received/invoiced, should the GRN post directly to a Capital Work-In-Progress (CWIP) suspense account? What is your business process and approval workflow for transferring CWIP balances into the active Fixed Asset Register to begin depreciation

Commented [GU59R2]: Yes, for capital purchases, the Goods Receipt Note (GRN) and subsequent invoice must post directly to a Capital Work-In-Progress (CWIP) suspense account. Our workflow dictates that the asset remains in CWIP—without attracting depreciation—while it undergoes installation and testing. Once the machinery or project is physically commissioned, the Plant Engineer and Finance Manager will approve a formal capitalization document. The system must then allow Finance to transfer the accumulated CWIP balance into the active Fixed Asset Register, classify the asset category, and commence depreciation

- Reconciliation routines will compare stock subledgers to inventory GL, receivables/payables subledgers to control accounts, and bank records to the cashbook.

15 Assumptions and Exclusions

Assumptions	Exclusions for this baseline
NCC will appoint process owners and provide current policies, approval limits, current transaction samples, forms, formats, approval references and clean master data. [NEW/REVISED]	Detailed payroll, HR, CRM marketing automation, e-commerce storefronts and advanced demand planning are excluded unless separately approved.
NCC will confirm Company/Branch/Main Warehouse/Sub-location/Department/Cost Center/Profit Center hierarchy before configuration. [NEW/REVISED]	Historical SAP / legacy transactional data migration is excluded; the ERP is implemented as a fresh system unless a separate migration scope is approved.
NCC will provide Product Master, Supplier Master, Supplier-to-Product Mapping and Tax Master samples for configuration. [NEW/REVISED]	New hardware, barcode devices, label-printing customization and third-party licenses require separate assessment.
iMake OS will provide supported integration, security and reporting capabilities required for the agreed solution.	Custom mobile application development is excluded; SFA scope is limited to agreed integration.
Statutory tax, bank formats and industry compliance requirements will be confirmed during design.	Major legacy-data cleansing beyond agreed migration templates is excluded.
Business users will participate in design workshops, master-data validation, UAT and training.	New hardware, barcode devices, label-printing customization and third-party licenses are subject to separate assessment.

16 Implementation Phases

Phase	Indicative outcome
1 Discovery and blueprint	Confirm processes, gaps, approvals, reporting priorities, interfaces, master-data ownership and deployment approach.
2 Foundation	Configure organization, roles, master data, financial structure, core controls and migration templates.
3 Core operations	Configure/build material, inventory, procurement, production, sales and finance flows with unit testing.
4 Integrations and reporting	Implement SFA and agreed interfaces; build priority reports, dashboards and reconciliation routines.
5 Data migration and UAT	Load trial data, execute end-to-end UAT, correct defects, validate opening balances and obtain sign-off.
6 Go live and stabilization	Cut over, train users, monitor transactions and interfaces, resolve priority issues, and transition to support.

17 Acceptance Criteria

The solution will be accepted when the following are demonstrated in agreed test scenarios and signed off by the designated business owners:

- Approved master data can be created and used in end-to-end purchase, production, sales and finance transactions.
- Every tested inventory movement updates the stock ledger correctly by location/batch where configured, and produces the expected accounting impact.
- Procure-to-pay, plan-to-produce, order-to-cash and record-to-report flows complete with required validations, approvals, traceability and exception handling.
- SFA exchange successfully processes valid messages, rejects invalid/duplicate data safely, and shows monitored status and reprocessing controls.
- Financial reports reconcile to detailed subledgers, including inventory, AP, AR, cash/bank and fixed assets as applicable.
- Role-based access and segregation-of-duties tests pass, including approval limits and blocked unauthorized actions.
- Customer-wise product prices select the correct approved price by customer, product, date, quantity and unit; invalid or expired prices are blocked or routed for approval.
- Bulk product updates validate and report every exception before posting, and approved changes are fully traceable.
- Multi-level BOM recipes correctly calculate RM requirements through SFG stages, control approved recipe versions, and preserve cost and consumption traceability.

10. Configured workflows route, escalate and record decisions correctly; transactions cannot proceed before required approval.
11. Priority reports and dashboards provide agreed measures, filters, drill-down and export rights using governed ERP data.
12. Performance, backup/recovery, migration and user training readiness criteria agreed in the blueprint are met before production go-live.

18 Client Review Decisions

Before the requirements baseline is finalized, Nawaloka Consumer Care should confirm the following design inputs:

- Legal entities, branches, three Main Warehouses, sub-locations, departments and operating calendar.
- Cost Center and Profit Center structure and mapping.
- Approval limits, delegation, escalation, maker-checker and exception tolerances for PR, PO, GRN, MR, GT, GDN, Sales Order and cancellations.
- Final document series/templates and type-specific mandatory fields/layouts/workflows for PO, GRN, GDN, Supplier Invoice, Sales Delivery and AR Invoice.
- Inventory valuation policy and item-level FIFO/FEFO configuration.
- Customer-wise product-price hierarchy, effective-date rules, override authority and discount rules.
- Supplier-to-Product Mapping and Tax Master samples / final structure.
- RM, WIP/SFG and FG recipe levels, BOM-version approval, substitution and yield/scrap conventions.
- Production Planning prototype review and sign-off.
- SFA field mapping, synchronization frequency, error ownership and offline/mobile expectations.
- Statutory reports, financial statement format and close timetable.

Commented [GL61]: What are the standard yield percentages and scrap assumptions for each product line?

19 Requirements Review Checklist

The following checklist should be completed during the client review meeting before this requirements document is approved as the implementation baseline.

Review item	Confirmed	Comments / action owner
Scope covers materials, inventory, procurement, production, sales, SFA integration, finance, reports and dashboards.	☐ Yes ☐ No	
Customer-wise product pricing, price hierarchy, effective dates and exception approvals are agreed.	☐ Yes ☐ No	
RM, SFG and FG classifications, multi-level BOM recipes and production costing assumptions are agreed.	☐ Yes ☐ No	
Material, sales, procurement, inventory and finance validations are agreed, including block and approval conditions.	☐ Yes ☐ No	
Workflow routes, approval limits, delegation and escalation rules are agreed.	☐ Yes ☐ No	
Key master data owners, migration inputs and data-quality responsibilities are assigned.	☐ Yes ☐ No	
SFA interface scope, field mapping, data ownership and interface-error process are agreed.	☐ Yes ☐ No	
Priority reports, dashboards, security roles, acceptance criteria and implementation phases are agreed.	☐ Yes ☐ No	

20 Approval and Signatures

By signing below, the representatives confirm that this document reflects the agreed requirements baseline. Any change after approval will be managed through the agreed change-control process.

Sign off	Name	Signature	Date
Prepared by			
Reviewed by			

Approved by			
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End of document

The ERP should support a controlled Bulk Item Master Update Template. Fields should be classified into three categories: Editable, Conditionally Editable, and Hard-Locked after transaction history.

1. Fields that should be editable through bulk update

The following operational/master-data fields should generally be available for bulk updates:

Item Description

Short Description

Item Category / Product Category

Brand

Product Group

Sub-category

Item Type

Base UOM, subject to UOM conversion validation

Purchase UOM

Sales UOM

Inventory UOM

Packaging/UOM conversion

Net Weight

Gross Weight

Volume

Dimensions

Barcode / EAN

Manufacturer

Country of Origin

Supplier

Supplier Item Code

Preferred Supplier

Supplier Lead Time

MOQ

Order Multiple

Reorder Point

Safety Stock

Maximum Stock Level

Minimum Stock Level

Planning Method

Warehouse / Storage Location

Batch Management indicator, subject to transaction-history validation

Expiry/Shelf-life parameters

Reorder parameters

HS Code, subject to tax/customs controls

Product status (Active/Inactive), subject to transaction checks

Bulk upload should include validation, error reporting, approval workflow and an audit trail.

2. Fields that should be conditionally editable

The following fields may need controlled changes through an authorized workflow:

Tax Group / Tax Category

HS Code

Cost Center

Warehouse valuation parameters

Inventory planning parameters

Supplier assignment

Batch/Serial control

Expiry settings

Product classification

Changes should require appropriate authorization and should be date-effective where applicable.

3. Fields that should be hard-locked after transaction history

The following fields should generally not be freely changed once the item has active transaction history:

Valuation Method

Inventory valuation-related accounting configuration

Historical cost/valuation basis

Base UOM where changing it could affect existing quantities

Currency/valuation configuration where it affects historical valuation

Item Accounting Group, where it affects GL mapping

Inventory GL Account / Account Determination

Historical transaction-related fields

If a business requirement requires changing one of these fields, the ERP should provide a controlled change process, rather than allowing direct bulk editing.

4. Tax Group and Cost Center

Tax Group: Should not necessarily be permanently hard-locked. It should be conditionally editable with authorization, because tax classifications can change due to regulatory requirements. The system should retain the old value historically and apply the new value from an effective date.

Cost Center: Should also be conditionally editable, rather than permanently hard-locked, because organizational responsibility may change. However, changing the current default Cost Center must not alter historical transactions.

5. Important control requirement

Bulk updates must never overwrite historical transaction data.

The system should maintain:

Who made the change

Date/time of change

Old value

New value

Reason for change

Approval/user authorization

Effective date

The bulk upload should also provide a pre-validation/error report before posting changes.

Overall principle: Operational planning and descriptive fields can be bulk-updated, while accounting, valuation and historical-impacting fields require controlled authorization or should be locked after transaction history exists.

Page 8: [2] Commented [GU16R2]	Guest User	9/23/2026 10:06:00 AM
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Yes. The ERP should maintain a Supplier/Purchase Price Master linked to the Material Master, including supplier, agreed price, currency and effective dates.

For PO price variances:

Within threshold: Allow PO processing.

Above threshold: Route for authorized approval, rather than automatically hard-blocking.

Maintain an audit trail for all price changes and overrides.

The variance threshold should be configurable by Finance/Management.

Page 8: [3] Commented [GU17R2]	Guest User	9/23/2026 10:06:00 AM
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Yes. The ERP should enforce **separate Opex and Capex budget checks** during requisitioning.

Opex: Check against the approved departmental operational budget.

Capex: Check against the approved capital project budget.

Within budget: Proceed through the normal approval workflow.

Unbudgeted Capex: Route for executive/management approval, rather than an automatic hard block, with proper authorization and audit trail.

Budget controls should be configurable by **department, cost center, project and financial year**.

Page 8: [4] Commented [GU18R2]	Guest User	9/23/2026 10:06:00 AM
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- Supplier selection should be based on **approved supplier status, price, quality, lead time, MOQ, payment terms, and delivery performance**.

- The ERP should prioritize the **approved/preferred supplier**, while allowing authorized users to select an alternative supplier with a valid reason and approval where required.

Page 8: [5] Commented [GU19R2]	Guest User	9/23/2026 10:07:00 AM
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- The ERP should support separate document types and workflows for **Imports and Local Purchases (LP)**.

- **Local Purchase (LP):** PR → PO → GRN → Invoice → 3-way matching → Payment.

- **Import:** PR/PO → Import/Shipment → GRN → Clearing/Freight invoices → Landed Cost Allocation → Final Inventory Cost.
- For imports, clearing, freight, insurance, duty and other applicable costs should be linked to the relevant **PO/GRN** and allocated to items based on configurable methods such as value, quantity, weight or volume.
- Landed cost should be calculated as the **purchase cost plus applicable directly attributable import costs**.
- The system should maintain separate numbering sequences and approval workflows for **Import and LP transactions**.

Page 8: [6] Commented [GL19] Gayan Hatharasinghe - Prologics It Solutions (Pvt) Ltd 9/8/2026 8:37:00 AM

What logic is used to calculate the landed cost? Do you require different document types, numbering sequences, or approval paths for Imports versus Local Purchases (LP)? Additionally, how do you expect to link and allocate clearing/freight agent invoices back to the original goods receipt to compute the final landed cost? what is the LP process?

Page 8: [7] Commented [GU20R2] Guest User 9/23/2026 10:08:00 AM

Supplier performance should be measured using these key KPIs:

On-Time Delivery (OTD) %

Quality / Rejection Rate %

Quantity Accuracy %

Lead Time Performance

Price Variance

MOQ Compliance

Invoice Accuracy

Supplier Responsiveness

Return/Complaint Rate

The ERP should provide a Supplier Performance Scorecard and allow these KPIs to be monitored by supplier and item.

Page 9: [8] Commented [GU24R2] Guest User 9/23/2026 10:32:00 AM

The ERP should support **both 1-to-1 substitutions and recipe-ratio substitutions**.

1-to-1: Ingredient A can be directly replaced by Ingredient B.

Ratio-based: Substituting A with B may require automatic adjustment of quantities for other ingredients such as C and D.

The system should allow **approved substitution rules/recipes** to be maintained in the BOM/Recipe and require authorization for changes affecting production quantities or cost

Page 9: [9] Commented [GU25R2] Guest User 9/23/2026 10:33:00 AM

Yes, partly. But they are two separate concepts.

Substitution: Changing one ingredient/material for another in the recipe/BOM, including ratio changes.

Actual vs. Theoretical Yield: Comparing the quantity that *should* be produced according to the recipe with the quantity actually produced.

For EWM, I recommend the ERP supports both, with separate reporting for Material Substitution Variance and Yield Variance.

Page 11: [10] Commented [GU31R2]	Guest User	9/21/2026 3:51:00 PM
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3.1 - Close Sequence: Our month-end close sequence will follow a standard subledger lock down. We will close Inventory and Production first, followed by Accounts Payable (AP), Accounts Receivable (AR), Cash/Bank Reconciliations, Fixed Assets, and finally the General Ledger (GL).

3.2 - Soft vs. Hard Close: Yes, we require a soft close. The ERP must allow us to lock operational subledgers (like Inventory, Sales, and Purchasing) to prevent new daily transactions, while keeping the General Ledger open so the Finance team can process month-end accruals, allocations, and adjusting journal entries before executing the final hard lock.

3.3 - Historical Migration: To support our Year-Over-Year (YOY) reporting, we require **[12 months / 24 months]** of historical financial data (at minimum, consolidated monthly trial balances) to be migrated into the new ERP at go-live.

Page 11: [11] Commented [GU32R2]	Guest User	9/21/2026 2:11:00 PM
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Yes, the system must automatically calculate, deduct, and post Withholding Tax (WHT) for applicable service suppliers. The automation should occur at the invoice or payment stage as dictated by current statutory rules, and the ERP must be able to generate standard WHT certificates to issue to our suppliers.

Page 11: [12] Commented [GU33R2]	Guest User	9/21/2026 2:13:00 PM
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Our banks provide standard CSV exports of our account statements. For Phase 1, we require the ability to upload these CSV files into the ERP's bank reconciliation module to view the bank data side-by-side with the system bankbook, but our team will perform the actual matching of transactions manually